



ORIENT FINANCE PLC

Unaudited Interim Financial Statements

For the Year Ended 31 March 2017

ORIENT FINANCE PLC
INCOME STATEMENT

For The	Quarter Ended 31 March		Year Ended 31 March		Change
	2017 Rs.	2016 Rs.	2017 Rs. Unaudited	2016 Rs. Audited	
Income	890,657,471	771,214,463	3,309,736,196	2,363,151,672	40%
Interest income	930,395,812	701,415,995	3,128,709,442	2,229,745,733	40%
Interest expenses	(509,139,540)	(344,920,164)	(1,836,496,004)	(1,096,452,702)	67%
Net interest income	421,256,272	356,495,831	1,292,213,438	1,133,293,031	14%
Fee and commission income	32,335,118	18,519,391	129,889,739	84,986,691	53%
Other operating income	(72,073,459)	51,279,077	51,137,015	48,419,248	6%
Total operating income	381,517,931	426,294,299	1,473,240,192	1,266,698,970	16%
Impairment charges/(reversal) for loans and receivables to customers	(79,960,137)	(104,427,276)	(321,776,210)	(328,996,613)	2%
Net operating income	301,557,794	321,867,023	1,151,463,982	937,702,357	23%
Operating expenses					
Personnel expenses	(68,577,574)	(83,959,134)	(323,775,954)	(324,338,120)	0%
Depreciation and amortization	(6,924,407)	(61,462,243)	(30,940,655)	(41,927,462)	36%
Value Added Tax and NBT on financial services	(31,125,691)	(1,642,102)	(76,750,858)	(1,642,102)	-98%
Other operating expenses	(102,037,087)	(63,286,464)	(416,081,098)	(273,933,955)	-34%
Profit Before Tax	92,893,035	111,517,080	303,915,417	295,860,718	-3%
Income tax expense	(7,905,843)	(137,279)	(38,582,135)	311,011,817	-906%
Profit for the year	84,987,192	111,379,801	265,333,282	606,872,535	-56%
Basic earnings per share (Rs.)	0.57	0.75	1.79	7.00	
Diluted earnings per share (Rs.)	0.57	0.75	1.79	7.00	

Figures in brackets indicate deductions.

ORIENT FINANCE PLC

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

For The	Quarter Ended 31 March		Year Ended 31 March		Change
	2017 Rs.	2016 Rs.	2017 Rs. Unaudited	2016 Rs. Audited	
Profit for the year	84,987,192	111,379,801	265,333,282	606,872,535	-56%
<u>Other comprehensive income/(expenses)</u>					
Available for sale financial assets - Net change in fair value	(4,903,860)	(331,873)	(1,168,048)	(377,544)	209%
	(4,903,860)	(331,873)	(1,168,048)	(377,544)	209%
<u>Other comprehensive income/(expenses) not to be reclassified to profit or loss in subsequent periods</u>					
Actuarial gain/(loss) on retirement benefit plan	330,448	-	330,448	(1,860,920)	-118%
Deferred tax effect on above	-	-	-	521,058	-100%
	330,448	-	330,448	(1,339,862)	-125%
Other comprehensive income/(expenses) for the year net of tax	(4,573,412)	(331,873)	(837,600)	(1,717,406)	-51%
Total comprehensive income for the year net of tax	80,413,780	111,047,928	264,495,682	605,155,129	-56%

Figures in brackets indicate deductions.

ORIENT FINANCE PLC
STATEMENT OF FINANCIAL POSITION

As At 31st March

	2017 Rs. Unaudited	2016 Rs. Audited
ASSETS	110,330,283	231,677,698
Cash and cash equivalents	839,887,069	756,124,103
Available for sale financial assets	16,416,103,145	13,839,304,166
Loans and receivables to customers	369,160,064	432,329,213
Investments with banks and other financial institutions	197,047,025	247,641,495
Other assets	22,469,524	46,407,850
Real estate stock	280,935,943	319,518,080
Deferred tax asset	564,545,746	564,545,746
Goodwill	235,880,000	235,880,000
Brand value	517,658	517,658
Intangible assets	420,903,024	438,736,122
Property, plant and equipment	19,457,779,481	17,112,682,131
Total assets		
LIABILITIES	598,251,884	433,373,124
Bank overdrafts	9,565,559,962	9,249,312,393
Deposits from customers	4,815,150,455	3,262,737,550
Interest bearing borrowings	985,716,469	1,176,912,865
Term debts	406,954,566	-
5 Year, Redeemable Preference shares	2,136,340	2,136,340
Current tax payable	530,785,736	704,484,745
Other liabilities	848,128	1,891,105
Non interest bearing security deposits	44,899,285	38,853,036
Retirement benefit obligations	16,950,302,825	14,869,701,158
Total liabilities		
EQUITY	1,378,689,779	1,378,689,779
Stated capital	239,324,463	292,391,119
Statutory reserve fund	(1,545,592)	(377,544)
Available for sale reserve	116,471,909	116,471,908
Revaluation reserve	774,536,097	455,805,711
Retained earnings	2,507,476,656	2,242,980,973
Total equity	19,457,779,481	17,112,682,131
Total equity and liabilities		
	16.94	15.15
Net assets per share		

Figures in brackets indicate deductions.

The financial statements are in compliance with the requirements of the Companies Act No.07 of 2007.

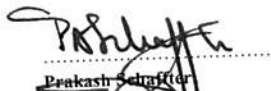

Asela Wijayabandara
Asst. General Manager - Finance


Mayura Fernando
Chief Executive Officer

The Board of Directors is responsible for the preparation and presentation of these Financial Statements.

Approved and signed for and on behalf of the Board;


Minette Perera
Director


Prakash Schaffter
Director

Colombo
26th May 2017

ORIENT FINANCE PLC
STATEMENT OF CHANGES IN EQUITY

For the year ended 31 March 2017,

	Stated Capital	Statutory reserve fund	Investment fund	Revaluation reserve	Available for sale value reserve	Retained earnings	Total
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Balance as at 01 April 2015	306,024,990	171,016,612	-	116,471,908	(3,374,004)	(20,140,382)	569,999,124
Issue of ordinary shares	1,072,664,789					-	1,072,664,789
Equity transaction cost relating to IPO						(4,838,069)	
Profit for the year	-	-	-	-	-	606,872,535	606,872,535
Written off of available for sale financial assets					3,374,004	(3,374,004)	-
Other comprehensive income net of taxes	-	-	-	-	(377,544)	(1,339,862)	(1,717,406)
Transfer to statutory reserve	-	121,374,507	-	-	-	(121,374,507)	-
Balance as at 31 March 2016	<u>1,378,689,779</u>	<u>292,391,119</u>	<u>-</u>	<u>116,471,908</u>	<u>(377,544)</u>	<u>455,805,711</u>	<u>2,242,980,973</u>
Profit for the year	-	-	-	-	-	265,333,282	265,333,282
Other comprehensive income net of taxes	-	-	-	-	(1,168,048)	330,448	(837,600)
Transfer to statutory reserve	-	(53,066,656)	-	-	-	53,066,656	-
Balance as at 31 March 2017	<u>1,378,689,779</u>	<u>239,324,463</u>	<u>-</u>	<u>116,471,909</u>	<u>(1,545,592)</u>	<u>774,536,097</u>	<u>2,507,476,656</u>

Figures in brackets indicate deductions.

ORIENT FINANCE PLC
CASH FLOW STATEMENT

For the year ended 31 March	2017 Rs.	2016 Rs.
Cash flows from operating activities		
Profit before income tax expense	303,915,417	295,860,718
Adjustment for;		
Depreciation / Amortization	30,940,656	41,927,462
Profit on disposal of property, plant and equipment	(15,283,673)	(36,700,876)
Impairment charge/(reversal)	321,776,210	328,996,613
Finance expenses	1,836,496,004	1,096,452,702
Profit on sale of Real Estate	(6,105,716)	(595,136)
Investment income	(113,697,831)	(82,814,997)
Provision for gratuity	9,683,360	2,552,085
Operating profit before working capital changes	2,367,724,427	1,645,678,571
Change in loans and receivables from customers	(2,898,575,189)	(1,719,073,346)
Change in other receivables	50,594,470	(57,394,929)
Change in deposits from customers	357,310,126	61,939,527
Change in other payables	(173,699,009)	(334,034,620)
Change in non interest bearing security margins	(1,042,977)	(695,046)
	(297,688,152)	(403,579,843)
Interest paid	(1,733,759,187)	(816,799,568)
Income tax paid	-	(2,498,544)
Gratuity paid	(3,306,663)	(23,393,426)
Net cash used in operating activities	(2,034,754,002)	(1,246,271,381)
Cash flows from investing activities		
Acquisition of property, plant and equipment	(17,962,347)	(16,248,351)
Proceeds from sale of property, plant and equipment	20,138,462	54,951,092
Proceeds from sale of Real Estate Sock	30,044,042	1,473,522
Expenses incurred for development of Real Estate	-	(58,800)
Net change in available for sale financial assets	(84,931,014)	56,965,581
Net change in investment securities	63,169,149	(298,234,218)
Investment income received	113,697,831	82,814,997
Payments made to former Orient shareholders	-	(1,730,906,250)
Net cash generated from investing activities	124,156,123	(1,849,242,427)
Cash flows from financing activities		
Interest bearing borrowings obtained	10,143,888,000	5,839,980,152
Repayment of interest bearing borrowings	(8,619,381,485)	(4,440,414,808)
Interest paid for Debentures	(96,184,411)	(71,258,080)
Repayment of Debentures	(204,000,000)	-
Proceeds from shares issue	-	1,072,664,789
Proceeds from Preference shares issue	400,049,600	-
Expenses incurred for IPO	-	(4,838,069)
Proceeds received from/(paid to) related party	-	265,825,725
Net cash generated from financing activities	1,624,371,704	2,661,959,709
Net change in cash and cash equivalents	(286,226,175)	(309,110,985)
Cash and cash equivalents at the beginning of the year	(201,695,426)	107,415,559
Cash and cash equivalents at the end of the year (Note A)	(487,921,601)	(201,695,426)
Note A		
Analysis of cash and cash equivalents at the end of the year		
Cash in hand	85,700,169	25,988,300
Cash at bank	24,630,114	205,689,398
Bank overdrafts - secured	(598,251,884)	(433,373,124)
	(487,921,601)	(201,695,426)

Figures in brackets indicate deductions.

NOTES TO THE FINANCIAL STATEMENTS

- 1 These Interim Financial Statements of the Company have been prepared based on the Sri Lanka Accounting Standards that came into effect from January 01, 2012 (SLFRS/LKAS). There were no changes to the Accounting Policies and methods of computation since the publication of the Audited Financial Statements for the Year Ended 31 March 2016. Further, these Interim Financial Statements have been prepared in compliance with the requirements of the Sri Lanka Accounting Standard 34 (LKAS 34) on Interim Financial Reporting. Previous year figures and phrases have been re-arranged wherever necessary to conform to the current presentation.
- 2 There are no material events that took place after the reporting date that require adjustments to or disclosure in the Financial Statements.
- 3 All known expenses have been provided for in these Financial Statements.
- 4 There are no significant changes in the nature of the Contingent Assets or Contingent Liabilities which were disclosed in the Audited Financial Statements for the year ended 31st March 2016.
- 5 On 16th February 2017 company has issued 4,000,496 new five year, Unlisted, redeemable, non convertible, cumulative, non-voting, unsecured, subordinated Preference Shares, to the existing holders of issued ordinary shares of the company in the proportion of one new preference share for every existing Thirty Seven Ordinary Shares Held at a price of Rs.100 per share with a 14% annual dividend per share.
- 6 Comparative figures in the Income Statement, Cash Flow Statement and Notes upto 30 June 2015 reflect only the former Bartleet Finance PLC performance since the merger of two entities took place only on 16 July 2015.

Listed Debenture Information

Debenture	31-Mar-17 Rs	31-Mar-16 Rs
Debentures Issued in 2011 (Deb. 01) *	-	204,000,000
Debentures Issued in 2014 (Deb. 02)	1,000,000,000	1,000,000,000
	1,000,000,000	1,204,000,000

* Debenture 01 has been redeemed on 15th June 2016 upon maturity.

Debenture 02	31-Mar-17	31-Mar-16
Market Prices - (Highest/ Lowest/ Closing)	N/T*	N/T*
Debt to Equity Ratio (Times)	6.53	6.41
Interest Coverage Ratio (Times)	1.17	1.27
Liquid Asset Ratio	6.30%	20.44%
Interest Rate of comparable Government Securities	11.97%	7.33%
Interest Yield as at Date of Last Trade	N/T*	N/T*
Yield to maturity as of Last Trade	N/T*	N/T*

* N/T - Not Traded

Ordinary Share Information

The Company's Ordinary Shares are listed on the Diri Savi Board of the Colombo Stock Exchange (CSE).

<u>Stated Capital</u>	31st March 2017	31st March 2016
Value of Ordinary Shares (Rs.)	1,378,689,780	1,378,689,780
No. of Ordinary Shares	148,018,370	148,018,370

Share Price During the Period	For the Quarter Ended	
	31-Mar-17	31-Mar-16
Highest (Rs)	13.90	21.00
Lowest (Rs)	9.00	12.30
Closing (Rs)	9.20	13.50

ORIENT FINANCE PLC**NOTES TO THE FINANCIAL STATEMENTS****Shareholders as at 31st March 2017**

	Name	No. of Shares	%
1	Janashakthi PLC	132,940,720	89.81
2	B G Investments (Pvt) Ltd	4,657,594	3.15
3	Dunamis Capital PLC	2,393,862	1.62
4	First Capital PLC	1,568,818	1.06
5	Seylan Bank Plc/ Shashimaal Ruhash Fernando	610,503	0.41
6	Rosewood (Pvt) Ltd	600,000	0.41
7	Code-Gen International Pvt Limietd	484,400	0.33
8	Asset Trust Management (Pvt) Ltd	333,300	0.23
9	Commercial Credit And Finance Plc	330,000	0.22
10	Mr. Dinith Yasantha Pathiraja	300,000	0.20
11	TKS Finance Ltd/ R.P.Wijedasa	166,115	0.11
12	TKS Finance Ltd/ K.Jayakodi	159,987	0.11
13	Seylan Bank Plc / Lasantha Chandika Ranaweera	145,001	0.10
14	Mr. Raveen Arifeen	140,371	0.09
15	Mr. Kosgallana Durage Ananda Weerasinghe	133,400	0.09
16	TKS Finance Limited/ T.A.H.R.G.Jayathilake	109,747	0.07
17	Mr. Nilan Asela Saipath Wickramasinghe	100,000	0.07
18	Mr. Dinesh Nuewan Kulasekara	100,000	0.07
19	Mr. Harindra Janaka Herath	75,000	0.05
20	Mr. Johnson Faviell Abeydeera	72,660	0.05
	Others	2,596,892	1.75
	Total	148,018,370	100.00

Directors' Shareholding as at 31st March 2017

	Name of the Director	No. of Shares	%
1.	Dr. D.C. Jayasuriya PC - Chairman	-	-
2.	Mr. Prakash Schaffter	10	-
3.	Mrs. Lakshmi K. Gunatilake	-	-
4.	Mr. Ananda W. Atukorala	-	-
5.	Mr. K. M. A. T. B. Tittawella	-	-
6.	Ms. Minette D. A. Perera	-	-
7.	Ms. Indrani Goonesekara	-	-
8.	Mr. Ramesh Schaffter (Alternative Director to Mr. Prakash Schaffter)	10	-
	Total	20	-

CEO's Shareholding as at 31 March 2017

Mr.Mayura Fernando	-	-
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Public Holding as at 31st March 2017

Number of Public Shareholders	15,077,610	10.18
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ORIENT FINANCE PLC
FIANCIAL REPORTING BY SEGMENTS
Business Segments

The company has two reportable segments, as described below, which are the company's strategic divisions. The strategic divisions offer different products and services, and are managed separately because they require different technology and marketing strategies. For each of the strategic divisions, the company's management reviews internal management reports on at least a monthly basis. The following summary describes the operations in each of the company's reportable segments.

Hire purchase, finance leasing and loans - Provision of hire purchase and leasing facilities to customers

Factoring - Debt factoring

	Finance leases, hire purchases and loans		Factoring		Unallocated		Total	
	2017 Rs	2016 Rs	2017 Rs	2016 Rs	2017 Rs	2016 Rs	2017 Rs	2016 Rs
For the Year Ended 31 March								
Interest income	2,780,166,226	2,036,981,870	229,367,517	109,033,085	119,175,699	83,730,778	3,128,709,442	2,229,745,733
Fee and commission income	81,959,493	56,919,160	47,288,126	28,067,531	642,120	-	129,889,739	84,986,691
Other income	22,490,458	7,100,574	-	-	28,646,557	41,318,674	51,137,015	48,419,248
Total segmental income	2,884,616,177	2,101,001,604	276,655,643	137,100,616	148,464,376	125,049,452	3,309,736,196	2,363,151,672
Less: Interest expense	(1,668,206,574)	(1,002,305,846)	(162,625,948)	(93,604,922)	(5,663,482)	(541,934)	(1,836,496,004)	(1,096,452,702)
Segmental results	1,216,409,603	1,098,695,758	114,029,695	43,495,694	142,800,894	124,507,518	1,473,240,192	1,266,698,970
Depreciation and amortization	(28,105,372)	(31,266,920)	(2,739,866)	(299,674)	(95,416)	(10,360,868)	(30,940,654)	(41,927,462)
Impairment charge/(reversal)	(299,250,210)	(311,112,713)	(20,829,000)	(17,694,767)	(1,697,000)	(189,133)	(321,776,210)	(328,996,613)
Other Expenses	(454,826,628)	(350,220,716)	(42,686,460)	(2,186,776)	(319,094,823)	(247,506,685)	(816,607,911)	(599,914,177)
Income tax	-	-	-	-	(38,582,135)	311,011,817	(38,582,135)	-
Profit after tax	434,227,393	406,095,409	47,774,369	23,314,477	(216,668,480)	177,462,649	265,333,282	606,872,535
Segmental assets	14,911,400,628	12,650,993,006	1,453,645,315	1,181,470,925	3,092,733,538	3,280,218,200	19,457,779,481	17,112,682,131
Segmental liabilities	423,089,194	474,271,932	-	-	16,527,213,631	14,395,429,226	16,950,302,825	14,869,701,158